



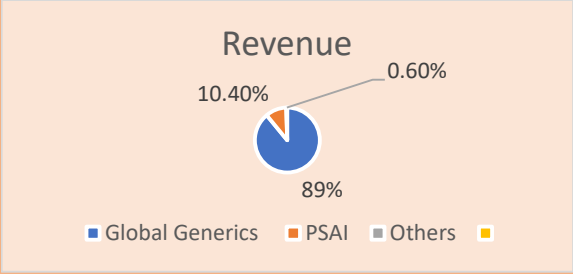
Dr.Reddy's Laboratories
EST: 1984 FOUNDED: 1984, HQ Hyderabad.

NSE: DRREDDY
NYSE: RDY (ADR)

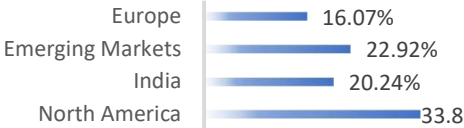
\$13.45 CURRENT PRICE	\$12.39 DCF TARGET PRICE	-8% POTENTIAL UP/DOWNSIDE	~\$11.2B MARKET CAPE	\$0.08 / SHARE DIVIDEND SHARE	~\$11.0B ENTERPRISE VALUE
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COMPANY OVERVIEW

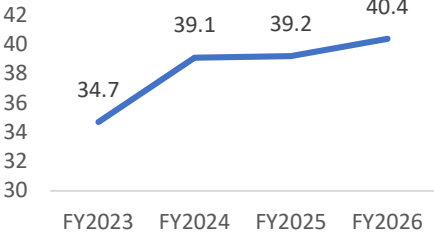
Dr. Reddy's Laboratories Ltd. is an Indian multinational pharmaceutical company headquartered in Hyderabad, with U.S. offices in East Brunswick, New Jersey. Founded in 1984 by **Kallam Anji Reddy** as an API manufacturer. Total consolidated revenue was ~\$3,580 million, The company produces over 190 medications and 60 active pharmaceutical ingredients.



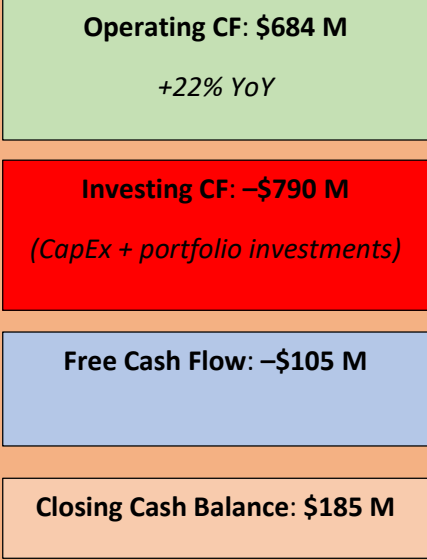
REVENUE BY GEOGRAPHY (%)
FY-2026



Revenue Trend (\$ B)



CASH FLOW STATEMENT
FY- 2026



₹335,933 Cr
+3.2% YoY
FY2026
Revenue

₹76,595 Cr
EBITDA
22.8% Margin

\$2.17 Billion
R&D Spend
~5.4% of
Revenue

~60%
Debt/Equity
Ratio ↓ from
~65% in FY2025

DCF VALUATION MODEL

Revenue CAGR (FY24-FY26)
3- 4%

Risk free rate (RF)
7.15%

Beta (B)
0.51-0.63

Terminal Growth(g)
3-4%

Equity Risk Premium
8.8%

Cost of Equity (CAPM)
≈12.45%

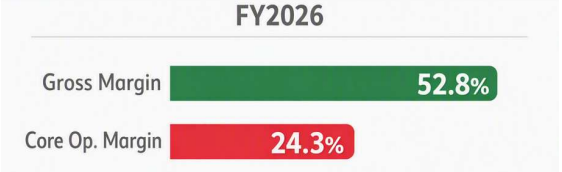
WACC
≈12.1%

After-Tax Cost of Debt
≈7.5%

INCOME STATEMENT FY 2024 (\$ Millions)

Item	FY2024 (\$ M)	FY2025 (\$ M)	FY2026 (\$ M)
Revenue	3,268	3,811	3,580
Cost of Sales	1,353	1,581	1,691
Gross Profit	1,915	2,229	1,889
R&D Expenses	268	320	256
Operating Profit	793	841	539
Core Op. Profit	1,162	841	539
Net Profit	652	670	453

KEY MARGINS:



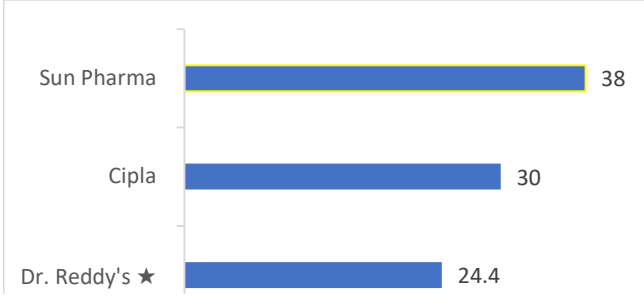
BALANCE SHEET FY-2026 (\$ M)

ASSETS	LIABILITIES & EQUITY
Total-\$5.25 billion	\$5.25 billion
CURRENT ASSETS \$2.23 billion	CUURENT LIABILITIES \$1,342 M
PP&E \$934 M	LONG TERM DEBT \$132 M
GOODWILL \$10 M	OTHER LIABILITIES \$132 M
INTANGIBLE ASSETS \$348 M	SHAREHOLDERS EQUITY \$3,778 M
OTHER ASSETS (Investments, Loans, Other financial assets, etc.) \$1,488 M).	

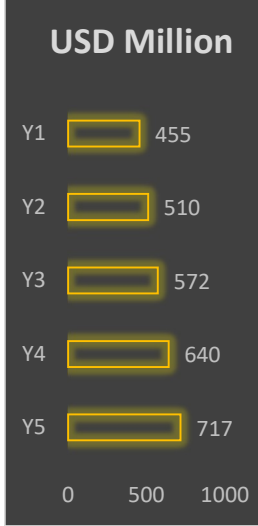
FINANCIAL RATIO ANALYSIS

METRICS	Dr REDDY's	PFIZER	SIGNAL
PROFITABILITY			
Gross Margin	52.80%	80.30%	Low
Core Op. Margin	15.00%	25.30%	Low
Net Margin	12.60%	19.70%	Low
ROE	11.80%	13.70%	Low
ROA	7.40%	10.60%	Low
LIQUIDITY			
Current ratio	1.80%	2.82%	WATCH
Quick ratio	1.35%	n\ a	OK
LEVERAGE			
Debt / equity	20.00%	0.06	High
Interest cover	13.6*	43.7*	Low
VALUATION			
P/E ratio	24.4*	38*	Cheap
EV/EBITDA	14*	22*	Disc

P/E vs Peers — lower = Cheaper



PROJECTED CF \$ M
5 year forecast



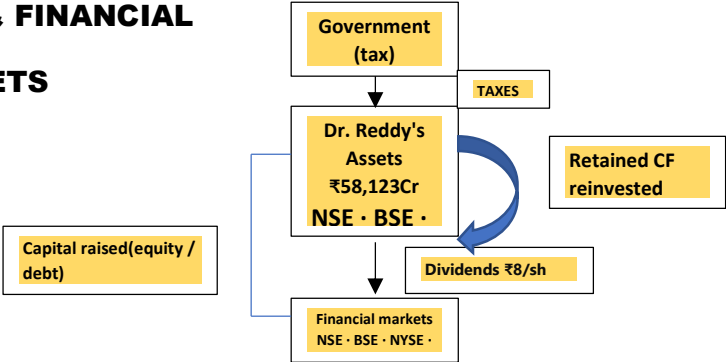
INTRINSIC VALUE PER SHARE

₹1,177
-8% vs current
₹1,278
Enterprise Value
₹1,04,425 Cr

LATE STAGE PIPELINE

Abatacept biosimilar	BLA filed	First globally, USFDA
HLX15 (daratumumab)	Phase 1 done	With Henlius
Pembrolizumab biosimilar	Co-development	With Alvotech
Toripalimab (Zytorvi)	Launched	21 countries
Rituximab biosimilar	Launched	Across Europe
Obeda (semaglutide)	Launched India	Phase 3 done

FIRM & FINANCIAL MARKETS



COMPETITIVE POSITIOINING VS PEERS

Company	Rev (\$B)	P/E (x)	Div Yield (%)	D/E (%)	Mkt Cap (\$B)
Dr. Reddy's	~4.3	~22	~0.9	~35	~11.5
Sun Pharma	~7.2	~38	~0.8	~30	~55
Cipla	~3.4	~33	~0.6	~25	~14
Lupin	~3.6	~28	~0.7	~40	~10

Dr. Reddy's sits mid-scale, with a lower P/E multiple, suggesting a relative valuation discount.

KEY RISKS TO MONITOR

U.S. Generics Pricing Pressure
Heavy reliance on the U.S. market means continued price erosion could compress margins and slow revenue growth.

Pipeline Execution Risk
Late-stage assets (semaglutide, biosimilars, oncology programs) carry clinical and commercialization uncertainty. Failure to launch or slower adoption would weaken growth projections.

Regulatory & Compliance Risk
FDA inspections and approvals are critical; any warning letters or delays in biosimilar filings (e.g., abatacept, pembrolizumab) could derail pipeline timelines.

Currency & Emerging Market Exposure
Significant revenue from India, Russia, and emerging markets exposes earnings to FX volatility and geopolitical risks.

INVESTMENT THESIS – WHY BUY?

Pipeline Catalysts
Pipeline expected to lift topline from \$4.3B (FY26) toward \$5.9B+ by FY30.

Deleveraging
Debt-to-Equity ratio reduced to ~0.35, with long-term debt only \$132M.

Strong Balance Sheet
Equity base of \$3.78B (~72% of capital structure), Debt-to-Equity ~0.35, with long-term debt only \$132M.

FCF Recovery
Free cash flow projected to grow from \$455M (Y1) to \$717M (Y5), CAGR ≈ 11.9%, showing strong cash generation capacity to fund R&D and shareholder returns.